

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-01

**Visual Comfort & Co.
v.
COSCO Shipping Lines Co. Ltd.**

**RESPONDENT’S RESPONSE TO COMPLAINANT’S SECOND MOTION TO COMPEL
DISCOVERY AND MOTION TO EXTEND PAGE LIMITS**

Respondent COSCO Shipping Lines Co. Ltd. (“Respondent” or “COSCO”), hereby responds to the two motions filed simultaneously by Complainant Visual Comfort & Co. (“VCC” or “Complainant”) on October 16, 2024: (i) Motion to Extend Page Limits; and (ii) Second Motion to Compel (“Motion to Compel”).

MOTION TO EXTEND PAGE LIMITS

VCC’s motion to extend the page limits for its Motion does not recite that VCC conferred with Respondent regarding this non-dispositive motion, and it did not. Although the Presiding Officer might properly deny the motion on that basis, Respondent answers as it would have done if asked. Respondent does not object to the length of the Motion to Compel, even though it could have been kept easily within the page by eliminating redundancies and misstatements. Rather, COSCO objects only to the content.

MOTION TO COMPEL

Respondent assumes that the instant Motion to Compel was concocted as a tit-for-tat to Respondent’s recent Motion to Dismiss, which unlike the instant motion, was based on Complainant’s conduct during discovery that deprived COSCO of the opportunity to know and

meet the evidence against it.¹ Whether or not our belief that the Motion was contrived is so, the Presiding Officer should rule consistently with her Order in that instance – i.e., it is too late to be arguing (in this case quibbling) about discovery; any such cavils should be addressed on brief. Order of the Presiding Officer dated October 8, 2024, at 4. (“To the extent that discovery issues have not already been adjudicated...the parties may raise objections and requests to exclude or obtain evidence in their briefs”). Such deferral of discovery disputes is routine procedure at the Commission.

Although the Presiding Officer should thus dismiss the Motion to Compel without regard to its merit (or lack thereof), we go on to show that the Motion to Compel is in any event meritless both as to documents and as to testimony.

A. Documents.

On October 10, 2024, Complainant served its Second Supplemental Requests for Documents.² Those Second Supplemental Requests were plainly untimely, so the Motion to Compel should be dismissed for that reason, without even getting to the substance of the Motion. The Procedural Schedule set by the Presiding Officer required all supplemental requests to be served no later than September 9, 2024, more than a month before VCC served its Second Supplemental Requests, and Complainant did not ask either Respondent or the Presiding Officer for an extension of that date.³

¹ We note that Complainant, apparently emboldened by the Presiding Officer’s Order, has recently (October 17, 2024) served yet another iteration of the McCown Report “Fourth Edition”), again without producing the supporting documentation or calculations relied upon by Mr. McCown. Respondent will of course defer to its Opposition Brief any substantive discussion of that clear violation of the Administrative Procedure Act, the FMC Rules, and Due Process.

² Although not denominated as such, the email was beyond doubt a supplemental request, as it demanded multiple detailed and lengthy searches, not simply a few specific documents identified in deposition.

³ Instead, VCC imperiously commanded Respondent to answer the lengthy and untimely Second

Even if Complainant's Motion to Compel was to be considered, it is largely a collection of omissions, misleading statements, half-truths, and untruths. We do not have space to address them all -- even were we to make use of the extra pages to which Complainant consented in advance -- so will confine ourselves to just a few, starting with some of the most serious omissions.

The Motion to Compel does not tell the Presiding Officer many things, including that it was untimely served. Among other matters, the Motion to Compel omits the facts that:

- COSCO performed a detailed search in precise accordance with the search terms specifically *provided by VCC*.
- The search was conducted in strict accordance with the ESI Protocol proposed by VCC and agreed to by both Parties, with some minor modifications proposed by an ESI vendor.
- COSCO has thus far produced 2,089 pages of documents in this proceeding.⁴
- COSCO has not withheld a single non-privileged document that it located after searching its records in accordance with VCC's own search terms and protocol.
- COSCO has *agreed* to conduct most of the searches requested by Complainant in its Second Supplemental Document Requests, even though the requests were patently

Supplemental Requests within one day. This demand was not only inconsistent with the FMC's Rules, which provide 30 days, but also patently ridiculous, given the need for counsel to confer with COSCO USA, which graciously made itself available on a federal holiday, and COSCO Headquarters and IT Department, both located in Shanghai. Respondent expedited its response as much as possible and served its objections and responses on October 16, 2024.

⁴ The number of documents produced by Respondent may be smaller than the number produced by Complainant, but as previously explained, that is because Complainant chose to dump a vast volume of non-responsive documents, possibly to hide documents of interest, while Respondent limited its production to documents actually responsive to Complainant's document requests.

untimely.⁵

- Several of the searches demanded by VCC on October 10 had already been done, and the results provided to VCC more than a month before the October 10 requests.

On top of these serious omissions, Complainant has also made various allegations without a single shred of support. Most egregiously, perhaps, Complainant recklessly asserts without basis that Respondent “cherry picked” the documents it produced. COSCO categorically asserts that it did not cherry pick anything, but rather conducted searches *as requested by Complainant using search terms provided by Complainant* and produced to Complainant every single non-privileged document responsive to those VCC-created searches

Complainant further prevaricates when it alleges that COSCO did not search the three custodian accounts VCC now says (at pp. 1-2) COSCO should be required to search. *See* Respondent’s Responses and Objections to Supplemental Requests for Documents, Second Set (Complainant’s Exhibit 11) at 8. These documents were all produced to VCC on September 4, 2024, marked COSCO_000101-COSCO_001860.

Despite the untimely nature of Complainant’s requests, Respondent has voluntarily agreed to conduct most of the searches Complainant asked for and COSCO’s IT Department is presently conducting those searches. Any additional documents located thereby will be produced to VCC as soon as reasonably possible.

VCC likewise dissembles when it asserts that “COSCO has not objected to any of the October 10, 2024 document requests on grounds of relevance (or lack thereof) or burden.” The

⁵ For example, COSCO has agreed to VCC’s request to apply Complainant’s search terms to three additional employees -- Tom Takase, Phil Taylor, and Chris Smith. Although Complainant also requested that such terms be applied to Paulina Wang, she was not employed by COSCO during the Relevant Period, nor, as Mr. Takase testified, is she responsible for U.S import shipments.

falsity of this statement is evidenced, *inter alia*, by Respondent’s Responses and Objections to Complainant’s Second Supplemental Discovery Requests (Motion to Compel, Exhibit 11) at 2-6, in which Respondent objected generally to the supplemental requests on the basis of over breadth, vagueness, and undue burden, among other grounds.⁶

COSCO objects only to the production of two, totally irrelevant, categories of documents set forth in the Second Supplemental Document Requests. First, as stated above, COSCO declined the request to search the emails of Paulina Wang, as: (i) she was not employed by COSCO during the “Relevant Period” defined by VCC in the Complaint; and (ii) she had no responsibility for the import trade, which is the only trade covered by the Complaint.

Second, COSCO objects on grounds of relevance to the belated and irrelevant request for production of so-called “VIP” contracts. Complainant’s mere *ipse dixit* that those contracts are somehow, but without explanation, relevant to this proceeding, is simply insufficient to meet VCC’s “initial burden of proving that the information sought is relevant.” *Alexander v. FBI*, 186 F.R.D. 154, 159 (D.D.C. 1999). Although Complainant suggested that it might argue about discrimination against non-VIP customers, no such claim may be found in the Complaint, and in any event the Shipping Act clearly precludes any claim based on alleged discrimination among customers.⁷

⁶ Respondent had likewise objected to Complainant’s discovery requests as overly broad, vague, irrelevant to any claims or defenses that have arisen or may arise in the proceeding and unduly burdensome on April 26, 2024 (Respondent’s Responses and Objections to Complainant’s First Request or Production of Documents). Respondent made the same objections (overly broad, vague, irrelevant to any claims or defenses that have arisen or may arise in the proceeding and unduly burdensome) on May 30, 2024 (Respondent’s First Supplemental Responses and Objections to Complainant’s First Request for Documents).

⁷ Effective 1999, the Shipping Act of 1984 was amended by the Ocean Shipping Reform Act of 1998 for the specific purpose, *inter alia*, of allowing ocean common carriers to enter into service contracts favorable to individual customers without concern about possible discrimination claims from other customers. *See*, Report of the Committee on Commerce, Science, and Transportation on S.414 (Report

Furthermore, the Presiding Officer has already ruled adversely to Complainant on this very issue. In in her Order of July 17, 2024 (at p. 8), the Presiding Officer explained: “Without a cogent argument regarding the relevance of third-party service contracts or other confidential agreements, including case authority, only the RIM agreement must be provided.” Complainant has still failed to present either cogent argument or case authority.

Complainant further makes the shockingly irresponsible assertion that COSCO must have failed to produce responsive documents because there were few if any documents responsive to Complainant’s requests for communications between COSCO and VCC. But as we have repeatedly explained and the Presiding Officer is well aware, *VCC was not COSCO’s customer*. Thus, it is entirely unsurprising that there were few documents between these parties because they simply did not deal with each other. Furthermore, if there were such communications, VCC must already have them, as they were a party to the communications.⁸

Complainant also notes the alleged paucity of documents between COSCO and RIM relating

105-61) at 28. (July 31, 1997)(“In addition to eliminating the current requirement in section 8(c) of the 1984 Act that ocean common carriers provide the same service contract terms to similarly situated shippers, the bill narrows the application of the prohibited acts with respect to service pursuant to common carrier service contracts. Accordingly, the Shipping Act, as in effect during the Relevant Period, limited the prohibition on discrimination or preference/prejudice for service contracts to discrimination or preference/prejudice but only “with respect to any port.” 46 U.S.C. § 41104(a)(5), (9) (2021). The narrow meaning of discrimination with respect to ports was, as explained by the drafters, intended only to “*protect localities* from unjust discrimination...The Committee intends the application of these prohibitions to a locality to be *limited to circumstances in which the prohibited actions are clearly targeted at the locality, not to circumstances where the actions are targeted at a particular shipper*...the amendments made by this section would retain similar protections *for ports* from unjust discrimination...” Report of the Committee on Commerce, Science, and Transportation on S.414 (Report 105-61) at 28. (July 31, 1997) (emphasis added). See, e.g., *OJ Commerce, LLC v. Hamburg Sud.*, FMC Docket No. 21-11, (Order on Respondents' Motions to Partially Dismiss at 6; ALJ August 31, 2022, administratively final October 6, 2022) (dismissing discrimination claim).

⁸ VCC, by contrast, has specifically withheld documents that were requested by Respondent and compelled by the Presiding Officer. As addressed in the Motion to dismiss, Complainant is now relying on documents that it declined to produce without any rationale for withholding.

to shipments of VCC cargo. But this is again to be expected. COSCO has already produced all documents reflecting communications during the relevant period. COSCO_000101 – COSCO_001860. There simply are no more. This is hardly surprising, given: (i) that RIM did not have a service contract with COSCO during the relevant period, and (ii) that all of the shipments in question moved under the service contract of a third party that is not a party to this proceeding and has not assigned any claims to VCC. Further, even if more documents existed in theory, they are already in VCC’s possession and control through its assignment agreement with RIM, the other party to such ostensible communications.

B. Testimony

Complainant’s request to compel further testimony from Mr. Takase (or another COSCO representative) is equally specious. As shown below, Mr. Takase was prepared to (and did) address all topics raised by VCC, other than one that the Presiding Officer had already declared to be verboten.

As an initial matter, Mr. Takase’s testimony that COSCO’s customers are directed to make inquiries to shaperdiem@coscon.com, perdiem_CDS@coscon.com, perdiem_CDS@coscon.com, and perdiem@cosco-usa.com in no way conflicts with the searches COSCO performed; it was precisely those three custodians that COSCO searched and from which COSCO long ago produced documents to VCC identified as COSCO_000101 – COSCO_001860. *See also*, Complainant’s Exhibit 11.

With respect to Topic 2 (*COSCO’s revenues and profits from detention and demurrage fees*”), the Presiding Officer has already held this line of inquiry to be irrelevant and outside the pale. In her Order of July 29, 2024 at 9, the Presiding Officer specifically rejected as irrelevant Complainant’s requests for “generalized data regarding COSCO’s income, revenue, and the like.”

With respect to Topic 4 (“*COSCO’s policies and procedures for allocating⁹ free days*”) Mr. Takase testified that he was prepared to testify on this topic. Takase Deposition Transcript at 38:12-17. Mr. Takase testified that he was aware of COSCO’s procedures and policies. Takase Tr. at 38:20-39:3. Mr. Takase’s testimony included extensive responses to questions about COSCO’s policies for demurrage and detention. *See, e.g.*, Takase Tr. at 57:15 – 59:1; Takase Tr. at 90:22-106:20; 113:20-116:4. COSCO’s production marked COSCO_000019-000099 is also responsive to this topic.

Regarding Topic 5 (“*COSCO’s policies and procedures for redirecting traffic to manage port congestion*”), Mr. Takase provided testimony responsive to questions about this subject. *See, e.g.*, Takase Tr. at 131:3-132:11. For example, Mr. Takase responded to a request to describe, “the difference between redirecting vessels, which I understand carry containers, and redirecting containers” by saying, “I suppose for this discussion, its mainly aimed at redirecting vessels, because once the containers are discharged at the port terminal, there’s really nothing we can do.” Takase Tr. at 41:7-42:10. Mr. Takase further testified that, “To manage port congestion...marine operations have various strategies for this situation. They could slow a ship down, they can skip rotation, port rotations, et cetera.” Takase Tr. at 43:13-44:3.

In response to questions about Topic 6 (*COSCO’s policies and procedures for establishing tariff per diems at ports*), Mr. Takase testified that the term “per diem” was “not used to relate to any containers sitting at the port.” Takase Tr. at 47:1–48:1. Mr. Takase testified that he was the person most knowledgeable within COSCO on this topic. Takase Tr. at

⁹ We are not sure what VCC means by its reference to allocation of free days, as free time is not in any meaningful sense “allocated.” All tariff shippers receive the free time set forth in the applicable COSCO tariff. All service contract shippers also receive the free time set forth in the applicable COSCO tariff, unless that time is varied by individual agreement between COSCO and the Shipper Party as specified in the Service Contract. Every service contract is individually negotiated.

49:10-12.

With respect to Topic 10 (“*COSCO’s practices, processes, and policies regarding the retention, collection, and production of documents for this litigation*”) Mr. Takase testified that he was prepared to testify about that subject. Takase Tr. at 27:20-28:3. Further, when asked whether he knew whether the shaperdiem@coscon.com e-mail address was collected for purposes of this litigation, Mr. Takase testified (and Complainant struthiously ignores) that COSCO searched that email address in accordance with Complainant's search terms and all responsive documents were produced to Complainant. Further, Mr. Takase testified that employees are instructed not to delete e-mails, and that reminders not to destroy e-mails are sent regularly. Takase Tr. at 31:3-15.

CONCLUSION

For the reasons set forth above, VCC’s Second Motion to Compel should not be considered and if considered should be denied in its entirety.

DATED: October 23, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that on this 23rd day of October, 2024, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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